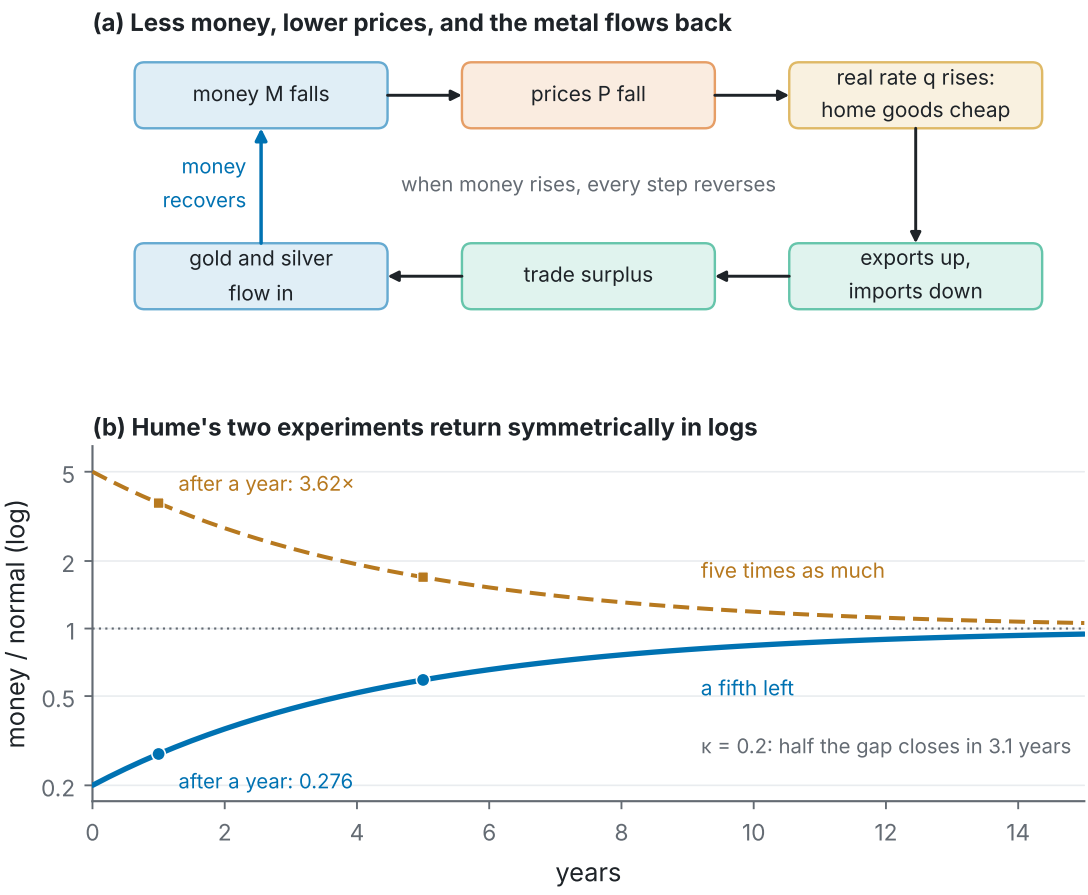
(a) Less money, lower prices, and the metal flows back
money M falls
prices P fall
real rate q rises: home goods cheap
money recovers
when money rises, every step reverses
gold and silver flow in
trade surplus
exports up, imports down
(b) Hume's two experiments return symmetrically in logs
money / normal (log)
5
2
1
0.5
0.2
after a year: 3.62×
five times as much
a fifth left
κ = 0.2: half the gap closes in 3.1 years
after a year: 0.276
0
2
4
6
8
10
12
14
years